LendingClub Credit Portfolio

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Source snapshot analysis. Values use original historical dataset periods.

Problem

Which accepted-loan grades and borrower segments balance observed credit losses with cumulative cash returns?

Method

Preserve raw snapshots, validate source keys and foreign keys, create grain-safe analytical tables, execute SQLite analyses, reconcile totals, and review descriptive Python statistics. Excel supports comparison and prioritization; the Power BI package specifies reproducible visuals and measures.

Most important findings

39,717 loans in the 2007-2011 release funded USD 434,810,325.

38,577 resolved loans had 5,627 charged-off outcomes (14.59%).

1,140 current loans (2.87%) were excluded from resolved-outcome default and return rates.

Grade G had the highest observed resolved-loan net cash return proxy (13.63%); this is cumulative and not annualized.

Resolved net cash return proxy was 9.92% before servicing fees, tax and time value.

Business impact

The analysis identifies where to investigate and test operational or commercial changes. Financial savings and causal impact are not estimated without intervention costs and experimental evidence.

Recommendations

Use the grade risk-return table to design diversification limits, then calculate dated cash-flow IRR and fees before making allocation decisions.

Investigate high-default purpose and DTI segments only after controlling for grade, term and vintage.

Compare vintages within matched loan terms and maturity windows; snapshot outcomes alone cannot establish underwriting improvement.

Add a release containing origination FICO and loan payment schedules to complete credit-score and annualized return analysis.

Measurement limitations

Selected older accepted-loan release covers 2007-2011, not the full 2018Q4 release. Outcomes are a historical snapshot, not current borrower status.

Origination FICO fields are absent. FICO bands and average FICO are unavailable, not imputed.

Current loans are unresolved. Default and return denominators include only Fully Paid and Charged Off/Default.

Net cash return proxy is cumulative and funding-weighted, not annualized IRR or a volatility-adjusted ratio. Servicing fees, tax and dated cash-flow timing are unavailable.

